

Significance of the Current-Asset Value

THE CURRENT-ASSET VALUE of a common stock is more likely to be an important figure than the book value, which includes the fixed assets. Our discussion of this point will develop the following theses:

1. The current-asset value is generally a rough index of the *liquidating value*.
2. A large number of common stocks sell for less than their current-asset value and therefore sell below the amount realizable in liquidation.
3. The phenomenon of many stocks selling persistently below their liquidating value is fundamentally illogical. It means that a serious error is being committed, either: (a) in the judgment of the stock market, (b) in the policies of the company's management, or (c) in the attitude of the stockholders toward their property.

Liquidating Value. By the liquidating value of an enterprise we mean the money that the owners could get out of it if they wanted to give it up. They might sell all or part of it to some one else, on a going-concern basis. Or else they might turn the various kinds of assets into cash, in piecemeal fashion, taking whatever time is needed to obtain the best realization from each. Such liquidations are of everyday occurrence in the field of private business. By contrast, however, they are very rare indeed in the field of publicly owned corporations. It is true that one company often sells out to another, usually at a price well above liquidating value, also that insolvency will at times result in the piecemeal sale of the assets; but the voluntary withdrawal from an unprofitable business, accompanied by the careful liquidation of the assets, is an infinitely more frequent happening among private than among publicly owned concerns. This divergence is not without its cause and meaning, as we shall show later.